ENT304 - LEADERSHIP AND CORPORATE GOVERNANCE

MODULE ONE: CONCEPT OF LEADERSHIP

UNIT 1: CONCEPT AND MEANING OF LEADERSHIP

1.0 Introduction

Leadership is the ability to influence people towards a shared purpose. It goes beyond formal position: a leader supplies vision, earns trust and helps other people contribute willingly.

3.1 Concept and Meaning of Leadership

Several authors have defined leadership in different dimensions. Among which include: "Leadership is a development of a clear and complete system of expectations in order to identify evokes and uses the strengths of all resources in the organization the most important of which is people, (Batten, 1989:35)". "Leadership is a function of knowing yourself, having a vision that is well communicated, building trust among colleagues, and taking effective action to realize your own leadership potential, (Bennis,1997)". "Leadership is a process of giving purpose (meaningful direction) to collective effort, and causing willing effort to be expended to achieve purpose (Jacobs & Jacques, 1990: 281)". "Leadership is a process of influence between a leader and those who are followers". Hollander (1978, p.1) "Leadership is a process whereby an individual influences a group of individuals to achieve a common goal".

Northouse (2004, p 3) "Leadership is an attempt at influencing the activities of followers through the communication process and toward the attainment of some goal or goals" Donelly et al (1985 p362.). "Leadership is an influence process that enable managers to get their people to do willingly what must be done, do well what ought to be done" Cribbin (1981).

PAST QUESTION - 2025_2 Q1(a) - 10 marks

Question: Using not less than ten items, attempt the definition of leadership.

Answer: Leadership can be understood through ten connected ideas: (1) influencing others; (2) directing collective effort; (3) communicating a vision; (4) giving people a clear purpose; (5) achieving a shared goal; (6) building trust; (7) motivating willing participation; (8) recognising people's strengths; (9) taking responsibility and leading by example; and (10) helping followers develop their abilities. Northouse describes leadership as influence exercised by an individual upon a group towards a common goal. Leadership is therefore much more than holding a title or giving orders.

PAST QUESTION - 2024_2 Q1(a) - 10 marks

Question: Leadership is the ability to take an average team of individuals and transform them into superstars. Discuss.

Answer: Leadership draws out the abilities of ordinary people and turns individual effort into coordinated achievement. A leader sets a shared vision, identifies workers' strengths, provides needed tools and training, encourages participation and recognises good performance. Through trust, example, sound decisions and timely support, followers become more confident and capable of producing better results than they could individually. The statement highlights influence and human development, not the mere exercise of formal authority.

3.2 Principles of Leadership

To help you be, known, and do; (U.S. army, 1983) follow these eleven principles of leadership: • Know yourself and seek self-improvement - In order to know yourself, you have to understand your be, know, and do, attributes. Seeking self-improvement means continually strengthening your attributes. This can be accomplished through self- study, formal classes, reflection, and interacting with others. • Be

technically proficient - As a leader, you must know your job and have a solid familiarity with your employees' tasks. • Seek responsibility and take responsibility for your actions - Search for ways to guide your organization to new heights. And when things go wrong, they always do sooner or later -- do not blame others. Analyze the situation, take corrective action, and move on to the next challenge. • Make sound and timely decisions - Use good problem solving, decision making, and planning tools. • Set the example - Be a good role model for your employees.

They must not only hear what they are expected to do, but also see. We must become the change we want to see - Mahatma Gandhi. • Know your people and look out for their well-being - know human nature and the importance of sincerely caring for your workers. • Keep your workers informed - know how to communicate with not only them, but also seniors and other key people. • Develop a sense of responsibility in your workers - help to develop good character traits that will help them carry out their professional responsibilities. • Ensure that tasks are understood, supervised, and accomplished - communication is the key to this responsibility. • Train as a team - Although many so called leaders call their organization, department, section, etc. a team; they are not really teams...they are just a group of people doing their jobs.

PAST QUESTION - 2024_1 Q1(a) - 20 marks

Question: To be an effective leader, there are certain principles to be followed. Explain.

Answer: The leadership principles associated with the US Army model include: know yourself and continually improve; be technically proficient; accept responsibility for decisions and mistakes; make sound and timely decisions; set a positive example; know your people and safeguard their welfare; keep workers informed; develop responsibility in subordinates; ensure that tasks are understood, supervised and accomplished; and train people to act as a team. In application, a leader who explains tasks clearly, demonstrates the required behaviour and gives staff responsibility is putting these principles into practice.

3.3 Type of Leaders

According to Mullins L.J (1985) the following have been identified as notable six types of leaders. These include: • Charismatic leader: This is a leader who gains influence mainly from strength of personality. The difficulty with charismatic leadership is that few people possessed the exceptional qualities required to transform all around them into willing followers. Another issue is that personal qualities or traits of leadership cannot be acquired by training; they can only be modified by it. • Traditional leader: This is a leader whose position is assured by birth e.g. kings, queens and tribal chieftains. This is another category to which few people can aspire. Except in the small family business, there are few opportunities for traditional leadership at work. • Situational leader: This is a leader whose influence can only be effective by being in the right place at the right time. The kind of leadership is temporary in nature to be of much value in a business.

What is looked for is someone who is capable of assuming a leadership role in a variety of situations over a period of time. • Appointed leader: This is a leader whose influence arises directly out of his position e.g. most managers and supervisors. This is the bureaucratic type of leadership where legitimate power springs from the nature and scope of the position within the hierarchy. The problem here is that, although the powers of the position may be defined, the job- holder may not be able to implement them because of weak personality, lack of adequate training or other factors. • Functional leader: This is a leader who secures their leadership positions by what they are. In other words, functional leaders adapt their behaviour to meet the competing needs of the situation.

• Principle-Centered leader: This is a leader, whose approach to leadership is influenced by moral and ethical principles, involving consideration of equity, justice, integrity, honesty, fairness and trust.

PAST QUESTION - 2025_2 Q1(b); 2024_2 Q1(b) - 15/5 marks

Question: Outline and explain any five types of leaders.

Answer: Charismatic leader: gains influence through strong personality and inspiration. Traditional leader: derives authority from birth or custom, as with hereditary rulers. Situational leader: becomes effective because particular circumstances call for the person's abilities. Appointed leader: gains formal authority from the position held, such as a manager or supervisor. Functional leader: adapts conduct to the task and needs of the group. Another recognised category is the principle-centred leader, who is guided by honesty, fairness, justice and integrity.

3.4 Qualities of leaders

Research shows that there is a consistent set of traits, characteristics and qualities of good leadership that people look for in their leaders. 75,000 people, on six continents over a period of 15 years were asked to identify the characteristics and qualities of good leadership (J M Kouzes & B Z Posner, 2002, San Francisco: Jossey-Bass). These were the results: • Honesty: The number one quality identified by this researchers is honesty. The respondents explain that a good leader must be honest to the oath of office that saw him to power and also to his numbers of followers. They added that a good leader must be morally upright, unpretentious, reasonable in situations and impartial. • Forward Oriented: A good leader must be forward oriented. He must always see the goal to be achieved and the challenges ahead. He must have the "Can Do" behaviour within him. This quality is very close in comparison with the Conceptual skill of leadership.

This means seeing things before others and the ability to predict or forecast what tomorrow will bring. • Competence: A good leader must be competent technically, human relation wisely. He must not be a specialist in a field but a generalist. He must be able to lead others to the very rightful part. He must have the ability to propel others to achieve results. • Inspiring: A good leader must be able to inspire his followers to attain goal and objectives. He must be able to stimulate others to do things and make things happen. • Intelligent: A good and effective leader must be intelligent. He must be sensible and rational. He must be a first class decision maker; he must be able to correct anomalies within his team. • Fair Minded: He must be able to keep a par between rigidity and flexibility.

That is, he must not be too hard in his policies and decision and not be too easily discourage to change his painstakingly predetermined made decisions.

PAST QUESTION - 2023_2 Q2(b); 2024_1 Q1(b); 2025_2 Q1(c)

Question: Explain any five qualities of a good leader.

Answer: Honesty produces confidence in the leader; forward orientation helps the leader anticipate opportunities and problems; competence provides the knowledge and human skills required to guide others; ability to inspire encourages followers to exert effort voluntarily; and intelligence supports sound judgement and timely decisions. Additional qualities include fairness, broad-mindedness and self-control. These qualities work together: competence without fairness may produce resentment, while good intentions without sound decisions may not achieve results.

Unit Quick Revision

Leadership = influence + shared purpose + example. Remember types, qualities and the leadership principles.

UNIT 2: LEADERSHIP PROCESS, ASPECT AND SOURCES OF POWER

1.0 Introduction

Effective leadership is a process of building commitment, providing an example and choosing appropriate influence. The leader has to understand both the route to group success and the proper use of power.

3.1 Roadmap to Leadership

The road to great leadership (Kouzes & posner, 1987) that is common to successful leaders: (1) Challenge the process - first, find a process that you believe needs to be improved the most. (2) Inspire a shared vision - Next, share your vision in words that can be understood by your followers. (3) Enable others to act - Give them the tools and methods to solve the problem. (4) Model the way - When the process gets tough, get your hands dirty. A boss tells others what to do; a leader shows that it can be done. (5) Encourage the hearts - Share the glory with your followers' hearts, while keeping the pains within your own.

PAST QUESTION - 2025_2 Q2(a) - 5 marks

Question: Identify the road to great leadership that is common to successful leaders.

Answer: Kouzes and Posner identify five practices: challenge the process by looking for improvements; inspire a shared vision so followers understand the destination; enable others to act by providing tools and authority; model the way through personal example; and encourage the heart by recognising contributions and sharing the success of the team.

3.2 Leadership Aspect

Leadership has been defined as the ability to inspire other people to accomplish a preset objective. A leader has the ability to make people feel good about what they are doing and helps people feel like the work they are accomplishing is working towards the larger goal of the corporation. According to Kouzes J.M (2002) the following are the three leadership aspects identified: (1) Challenge the process - A leader looks for easier, more efficient ways to accomplish goals, rather than settling for the age-old way of doing something. Leaders are innovative and experimental to find new ways of doing things (Kouzes, 4). (2) Inspiring - Leaders effectively communicate organizational goals to employees so people know what is expected of them. They give people a good reason to do their jobs by expressing how important their work is and how it helps the organization as a whole. They motivate and energize workers and give them confidence to do their job (Kouzes, 2014).

(3) Modeling - An effective leader teaches by example. Leaders work with the highest standards and expect others to work to those standards as well.

PAST QUESTION - 2025_2 Q2(b) - 15 marks

Question: Explain the three leadership aspects according to Kouzes J.M (2002).

Answer: Challenge the process: a leader questions ineffective routine methods and searches for better ways of achieving goals. Inspiring: the leader communicates organisational purpose clearly, gives people confidence and shows why their work matters. Modelling: the leader demonstrates the standards of effort, integrity and commitment expected of followers. These aspects are complementary: a leader should not merely call for change but personally demonstrate it.

3.3 Leadership Power and Sources

Power generally refers to the ability to commands people's obedience. Many attempts have been made to identify the courses of power through which one individual may influence another. One of the most useful frameworks for understanding these bases of influences has been developed by French and Raven (1990).These authors have distinguished five sources of power, which include: (1) Legitimate power: This is based on one's hierarchical position the corporation president has greater legitimate power than the vice-president of manufacturing to speak on issues of corporate policy; by the same token, the vice-president of manufacturing has more legitimate power than the first line supervisor to decide on issues of capital expenditures, work floe, inventory levels etc. (2) Reward power: This stems from the control of rewards valued by subordinates. Subordinates who act as their supervisors tell them to do so in past because they believe that their behavior will be rewarded.

(3) Coercive power: This is based on fear. If subordinates alter their behavior because they believe that a failure in company with orders from a superior will lead to punishment, they are responding to coercion. (4) Reference power: This is based on the followers' identification with the leader. This identification may be based on personal admiration and usually includes a desire by the followers to be like the leader. (5) Expert power: This stems from the perceived and demonstrated competencies of leaders to implement, analyze, evaluate and control the tasks assigned to their group.

PAST QUESTION - 2021_2 Q3(a-b); 2022_2 Q4(a) - 20/10 marks

Question: Enumerate the major sources of power in an organization and explain any four.

Answer: French and Raven distinguish five bases: legitimate power comes from formal office; reward power from the ability to provide valued benefits; coercive power from the capacity to punish non-compliance; referent power from admiration and followers' desire to identify with the leader; and expert power from recognised knowledge and skill. For example, an appointed director may possess legitimate power, while a highly respected technical specialist exercises expert power. Effective leadership relies on appropriate use of these powers rather than fear alone.

Unit Quick Revision

Kouzes and Posner: challenge, inspire, enable, model, encourage. French and Raven: legitimate, reward, coercive, referent, expert.

UNIT 3: THEORIES OF LEADER

1.0 Introduction

Leadership theories explain why some people become effective leaders and why the same method does not work in every situation. This unit moves from traits and group functions to behavioural and situational models.

3.1.1 Conventional Theories of Leadership

There are a number of approaches to understanding leadership, ranging from the traditional view that leaders are born and not made, to the relatively recent view that leadership is more to do with the situation than to any universally desirable set of attribution. There are several theories of leadership that scholars and philanthropist have over the years identified. Among which include:

3.1.2 The Trait Theory

The first systematic effort by researchers to understand leadership was the attempt to identify the personal characteristics of leaders. It has been argued that there is a predisposition to consider leaders as naturally braver, more aggressive, more decisive and more articulate than other people, so that they stand out in terms of physical characteristics, personality and intelligence. One popular myth is that natural leaders are tall and stand above the crowd like Charles De Gaulle or Abraham Lincoln. A complicating factor in this trait theory is the question of cultural bias. If there is a bias towards tall leaders, then most leaders will be tall because they are the ones who will be chosen. In the same way, the so called _glass ceiling' prevents women from becoming senior managers in some companies and therefore they do not emerge as leaders. When women do become senior managers, research shows that they can be just as effective leaders as men.

Research has also shown that male and female managers are judged to be equally effective by their subordinates (Donnell and Hall, 1980). The research into personality traits, or a set of qualities that can be used to discriminate leaders from non-leaders, has failed to produce any consistent position.

3.1.3 The Functional or Group Approach

This approach neither focuses attention not on the personality of the leader nor on the man in the job per se but on the functions of leadership, is always present in any group engaged in a task. The functional approach views leadership in terms of how the leader's behaviour affects and is affected by the group of followers. As such, it concentrates on the nature of the group of followers or subordinates. It thus focuses on the content of leadership. The functional approach believes that the skills of leadership can be learnt, developed and perfected. Kotler (1990), successful companies seek out people with leadership potential. With careful selection, motivation and encouragement, a reasonable percentage of people can play important leadership roles in business organization.

PAST QUESTION - 2025_1 Q1 - 25 marks

Question: Differentiate between the Functional or Group Approach and Action-Centered Leadership.

Answer: The functional or group approach defines leadership by the functions necessary for a group to work effectively, rather than by the leader's birth, personality or job title. Leadership skills can therefore be learnt and improved. John Adair's action-centred leadership develops this approach into three overlapping needs: achieving the task, maintaining the team and meeting each individual member's needs. The broad functional approach asks what leadership contributes to a group; Adair specifies the three interdependent areas that the leader must balance.

3.1.4 Action -Centered Leadership

The general theory on the functional approach is associated with the work of John Adair (1984), and his ideas on action-centered leadership. According to him the effectiveness of the leader is dependent upon meeting tree areas of need within the work group- the need to achieve the common task, the need for team maintenance and the individual needs of group members. He symbolizes these needs by three overlapping circles. • Task Functions: • Achieving the objectives of the work group. • Defining group task. • Planning the work. • Allocation of resources. • Organization of duties. • Controlling quality and checking performance. • Reviewing progress. • Team Maintenance Functions: • Maintaining moral and building team spirit. • Ensuring the cohesiveness of the group. • Setting standards and maintaining discipline. • Establishing systems of communication. • Training the group. • Appointment of sub-leaders. • Individual Functions: • Meeting the needs of members individually.

• Attending to personal problems. • Giving praise and status. • Reconciling conflict between group needs and needs of the individual. • Training individual. The action of the leader in any one area of need will affect one or both all other areas of need. The ideal position is where complete integration of the three areas of need is achieved.

PAST QUESTION - 2024_2 Q2 - 20 marks

Question: Examine the Action-Centred Leadership theory showing three overlapping circles of interaction of needs within the group.

Answer: Adair identifies three linked circles. TASK: define objectives, plan work, allocate resources, organise duties and check performance. TEAM MAINTENANCE: build team spirit, maintain cohesion, communicate, establish standards and train the group. INDIVIDUAL: recognise each person's needs, help with personal difficulties, offer praise, develop members and resolve tensions between personal and group needs. None of the circles is independent; a neglected team can undermine task results, while unsupported individuals may withdraw their effort.

3.1.5 The Behavioural Approach to leadership

When it becomes evident that effective leaders did not apparently have any distinguishing traits or qualities, researchers tried to understand how successful and unsuccessful managers behave differently. Instead to find out what effective leaders were, researchers finds out what effective leaders did. The importance of arriving at this conclusion is that it meant to correct actions and behaviour could be learned and training could be provided for leadership. Stodgill et. al., (1957) at Ohio State University during the 1940s concluded that there were two principal dimensions to leader behaviour. On the one

hand there was a concern for people, and on the other a concern for production. (1) A concern for people: This behaviour involves a manager's concern for developing mutual trust with subordinates. This was seen as an employee-oriented approach characterized by managers concern for their employees. The manager's behaviour encourages mutual trust and two -way communication.

(2) A concern for production: This behaviour involves managers concern for directing subordinates in order to achieve production targets. It is a task oriented approach, where managers tend to be highly directive and emphasize completing a task according to plan.

3.1.6 The Managerial Grid

Robert Blake and James Mouton (1964) researched into leadership behaviour has shown that it is multidimensional. The management grid identifies a range of management behaviour based on various ways that task-oriented and employee-oriented styles can interact with each others. There are 81 possible interactions, but to attempt to define everyone would not be productive. However, Blake and Mouton (1964) described five extreme positions: (1) Country Club Management: Scores high on concern for people and low on concern for production. This management style may be based on a belief that the most important leadership activity is to secure the voluntary co-operation of group members in order to obtain high levels of productivity. Subordinates of these managers reports generally high level of satisfaction, but managers may be considered too easy going, soft mind and unable to make strict decisions.

(2) Authoritarian Management: Scores a high concern for production and efficiency and a low concern for people. This management style is task- oriented and stresses the quality of the decision over the wishes of subordinates. Such managers believe that group- centered action may achieve mediocre results. They can be conscientious, loyal and personally capable , but can become alienated from their subordinates who may do only enough to keep themselves out of trouble. (3) Impoverished Management: Scores a low concern for both people and production. This management style does not provide leadership in a positive sense but believes in laissez- faire approach, relying on previous practice to keep the organization going. (4) Middle-of-the -Road Management: Scores a moderate amount of concern for both people and production.

PAST QUESTION - 2024_1 Q2(a-b) - 20 marks

Question: Critically examine the five extreme positions of management according to Blake and Mouton (1964) and identify the implication of the managerial grid.

Answer: The five positions are 1,1 impoverished management (little concern for people or production); 1,9 country-club management (high concern for people but low task emphasis); 9,1 authoritarian or task management (high production focus but low people concern); 5,5 middle-of-the-road management (moderate concern for both); and 9,9 team management (high concern for people and production). The grid shows that leadership style involves two dimensions and helps managers examine whether their emphasis on tasks is balanced with concern for staff.

3.1.7 Likert's leadership Theory

Likert's System of Management (1967): Rensis Likert, Director of the institute for social Research at the University of Michigan developed a universal theory of leadership. Likert's theory consists of a Continuum of styles ranging from autocratic to participative. Four basic styles of Likert's systems of management were identified and they are as follows: (1) Explosive Autocratic: Managers make all decisions. They decide what is to be done, who will do it and how and when it is to be accomplished. Failure to complete work as assigned will result in threats or punishment. Under this system, management exhibits little confidence or trust in employees. (2) Benevolent Autocratic: Managers still make the decision, but employees have some degree of freedom and flexibility in performing their jobs so long as they conform to the specified procedures. (3) Consultative: Managers consult with employees prior to establishing the goals and making decisions about the work.

Employees have a considerable degree of freedom in making their own decisions as how to accomplish the work. (4) Participative team: This is Likert's recommended system or style of management. The emphasis of the participative team is on a group participative role with full involvement of the employees in the process of establishing goals and making job related decisions.

3.1.8 Ohio State Leadership Studies

The key concern of the Ohio state leadership studies was the leader's behavior in directing the efforts of others toward group goals. After a considerable number of studies had been completed, two important dimensions of leader's behavior were identified. (1) Initiating Structure: The extent to which the leader establishes goals , defines and structure their roles and the roles of subordinates towards the attainment of goals. (2) Consideration: The extent to which leaders have relationship with subordinates, characterized by mutual trust, respect and consideration of employees' ideas , feelings, warmth, support and consideration for subordinates. The Ohio State Leadership theorists come about four types of leadership behaviour. Consideration and initiating structure are found to be uncorrelated and independent dimensions. They are separate behavioural categories and give rise to four types of leadership behaviours.

On these bases, leaders may be: (a) Low on consideration and low on structure. (b) Low on consideration and high on structure. (c) High on consideration and high on structure. (d) High on consideration and low on structure.

PAST QUESTION - 2022_2 Q3 - 20 marks

Question: Discuss Ohio State Leadership Revisions.

Answer: The Ohio State studies identified two major dimensions of leadership behaviour. Initiating structure means defining roles, organising duties, setting targets and directing work towards group objectives. Consideration means showing trust, friendliness, respect and concern for subordinates' welfare, with two-way communication. These dimensions can occur together: a leader can set clear standards and still be considerate. Effectiveness depends on the task and the needs of the people involved.

3.1.9 The Situational Theory of Leadership

Blanchard (1982) developed the view that leadership approaches depended very much on the _maturity' of their subordinates. He defined _maturity' as a desire for achievement and willingness to accept responsibility. He developed the theory that the relationship between leaders and followers moves through phases as subordinates _mature' , and that managers need to very their leadership style with each phase. Explaining Figure 4 above: the initial phase, when employees first join an organization, a high task orientation is most appropriate (A). New employees have to be instructed in their task and in the organization's rules and procedures. At this stage a non-directive manager can cause anxiety in the new employee and confusion about what is to be done. As new employees become familiar with task and procedures, a more employee-oriented style can be introduced. (B) as employees become familiar with the work and culture of the organization they may seek greater responsibility and the leadership style can become participatory.

3.1.10 Fiedler (1971) Situational Theory of Leadership

Research carried out by Fiedler (1971) was based on the view that managers have difficulty in altering the style which has helped them to achieve success, and that in fact they are not very flexible. It follows from this that trying to change a manager's style to fit the situation may be both useless and inefficient and, therefore, effective group performance could best be achieved by matching the manager to the situation or by changing the situation to match the manager. For example, an authoritarian manager can be selected to fill a post that enquires directive leadership, or the job could be changed to give an authoritarian manager more formal authority over employees. Fieldler argued that successful and

effective leadership depended on three factors: (1) Leader- member relation: This is the most important factor in leader's effectiveness.

The degree to which leaders have the acceptance, confidence, support and loyalty of subordinates is an essential feature of leader effectiveness. When these relations are strong the leader has a firm base from which to influence behaviour of subordinates. When the leader- subordinate relation is weak, the influence of leaders is only through the impersonal authority provided by their position in the organization.

PAST QUESTION - 2023_2 Q1(a); 2025_1 Q3 - 15 marks

Question: Discuss three successful and effective leadership factors argued by Fiedler.

Answer: Fiedler's contingency model identifies three factors which determine how favourable a leadership situation is: (1) leader-member relations - whether followers trust and accept the leader; (2) task structure - whether duties, procedures and outcomes are clearly defined; and (3) position power - the leader's formal ability to reward, discipline and direct subordinates. The model argues that leadership effectiveness depends upon the fit between a manager's style and the situation.

3.1.11 The Contingency Approach

Research into trait and Behavioural approaches to effective leadership shows that it depend on many variables, in terms of individual personality, management style, corporate culture and the nature of the task to be performed. There is not one trait or approach which is effective in all situations. The contingency approach focuses on the situational factors which influence leadership. Robert Tannenbaum and Warner Schmidt (1973) were among first researcher to describe various factors which influenced a manager's choice of leadership style. They took into account that managers need to consider practical considerations before deciding how to manage. They concluded that there were three main _forces' on a manager's mind in deciding a leadership style. (1) Personal Forces: the managers own background , experience ,confidence and leadership inclinations; (2) The characteristics of subordinates: the managers need to consider subordinates relative willingness or unwillingness to accept responsibility and take decisions;

3.1.12 The Path- Goal Theory of Leadership

This theory was developed by Robert House (1971) and others as an approach to understanding and predicting leadership effectiveness in different situations. The Theory focuses on the leader as a source of rewards and attempts to predict how different types of rewards and different leadership styles affect the performance of subordinates, based on the view that an individual's motivation depends both on the expectation and the attractiveness of the rewards available. The manager identifies the _goal' and rewards which are available and the _paths' to be taken to reach them. • The Process of Effective Leadership: (1) Identifies and communicates to subordinates the path they should follow in order to achieve personal and organizational objectives; (2) Helps subordinates along this path; (3) Helps to remove obstacles on the path that might prevent the achievement of these objectives. The manager's leadership style will influence the perception of the rewards available and what has to be achieved to earn them.

3.1.13 The Participatory Theory of Leadership

Vroom and Yetton (1973) developed a model of situational leadership in order to help managers decide when and to what extent they should involve employees in solving a particular problem. They suggested that managers needed to ask themselves a number of questions before deciding on an appropriate leadership style. (1) Is it necessary to make an objective decision with which employees may disagree? (2) Do the managers have sufficient information or skill to solve the problem on their own? (3) Is the problem structured? (4) Is the acceptance of the employees critical for the success of the decision? (5) If the decision was made by management, would it be accepted by the employees? (6) Do employees

share the achievement of the same objectives in solving the problem? Once these questions have been answered, it is then possible to select a leadership style, although there may be further choices to be made.

Vroom and Yetton defined five leadership styles in terms of the degree of participation by subordinates in the decision -making process. (1) Autocratic I (AI) - Managers solve the problem or make the decisions themselves, using available information. (2) Autocratic II (AII) - Managers obtain information from subordinates before making a decision, and then decide on the solution to the problem themselves.

PAST QUESTION - 2025_2 Q3(a) - 10 marks

Question: Explain the five leadership styles in terms of the degree of participation by subordinates in the decision-making process according to Vroom and Yetton (1973).

Answer: The leadership participation model distinguishes five decision processes: AI - the leader decides alone using available information; AII - the leader gathers information from followers and decides alone; CI - the leader consults individuals separately but makes the decision; CII - the leader consults the group, considers suggestions and still decides; and GII - leader and group jointly examine the problem and reach a shared decision. The suitable process depends on the quality of the decision required and the importance of subordinate acceptance.

Unit Quick Revision

Adair: task, team and individual. Blake/Mouton: 1,1; 1,9; 9,1; 5,5; 9,9. Fiedler: relations, task structure, position power.

UNIT 4: EMERGING LEADERSHIP THEORIES

1.0 Introduction

Newer leadership theories focus on relationships, inspiration, exchanges of rewards and the capacity to transform followers. The models explain different sides of influence rather than one universal formula.

3.1 Leader-Member Exchange Theory

Most leadership theories assume that a leader behaves in much the same way towards all followers. In contrast, leader-member exchange theory holds that leadership is a one-on-one exchange in which leaders behave differently with different group members rather than the same with each member. It further holds that followers based on the quality of their interpersonal relationships (Exchanges) with a leader, form different group (higher quality and an out-group (lower quality).Insiders and outsiders experience very different work outcomes. Leader interactions with insiders resemble social transactions, with leaders and followers exchanging resources and enjoying higher levels of trust and support. By contrast, in exchange with outsiders, leaders act as supervisors, relying on formal authority to extract follower performance.

At the extreme, leader exchange with outsiders can be very mechanistic, arising from workplace rules, policies and procedures, rather than spontaneous interaction. Such exchanges are typically characterized by low levels of trust, interaction, support, and leader provided rewards. Research suggested that, as a consequence of such contrasting treatment, in-group members perform better and are more satisfied than out-group members. More significantly, it underscores the fact that leader behaviour originates, in part in followers. Hence, leadership is a mutual- influence process whereby leaders respond differently to different followers and both leaders and followers alter their behaviour depending on the performance of the other.

3.2 Charismatic Leadership Theory

This is an extension of attribution theory. It says that followers make attributions of heroic or extraordinary leadership abilities when they observe certain behaviors. Studies on charismatic leadership have been directed at identifying those behaviors that differentiate charismatic leaders. Several authors have attempted to identify personal characteristics of the charismatic leader. Robert House (1980) identified three, namely; extremely high confidence, dominance and strong convictions in his or her belief. Warren Bennie (1978) after studying ninety of the most effective and successful leaders in the united states, found that they had four common competencies: they had a compelling vision or sense of purpose; they could communicate that vision in clear terms that their followers could readily identify with; they demonstrated consistency and focus in the pursuit of their vision; and they knew their own strengths and capitalizes on them.

Conger and Kanugo (1988) at Mc Gill University however completed the most recent and comprehensive analysis. Among their conclusions, idealized goal that they want to achieve a strong personal commitment to their goal, are perceived as unconventional are self confident. Finally, charismatic leadership may not always be needed to achieve high levels of employee performance. It may be the most appropriate when the follower's task has an ideological component. This may explain why when charismatic leader surface, it is more likely to be in politics, religion, wartime or when a business firm is introducing a radically new product or facing a life-threatening crisis. Such conditions tend to involve ideological concerns. • Features of Charismatic Leaders According to Robert House (1980) the following are the identified features of charismatic leaders: (1) Self confidence: They have complete confidence in their judgment and ability.

PAST QUESTION - 2025_1 Q2; 2025_2 Q3(b) - 15/10 marks

Question: List and explain any five features of charismatic leaders.

Answer: A charismatic leader has strong self-confidence, a compelling vision, the ability to communicate that vision clearly, consistency in pursuing goals and knowledge of personal strengths. Other relevant qualities include dominance, strong conviction, sensitivity to followers' needs and readiness to adopt unusual or innovative actions. Such leaders can mobilise people powerfully, but personal attraction by itself does not guarantee sound judgement or lasting institutional performance.

3.3 Transactional Leadership Theory

Most of the leadership theories presented like the Ohio State studies, Fiedler's model, path-goal theory and the leader participation model have concerned transactional leader. These kinds of leaders guide or motivate their followers in the direction of established goals by clarifying role and task requirements. However, there is another type of leader who inspires followers to transcend their own self- interest for the good of the organization and who is capable of having a profound and extraordinary effect on his or her followers. • Characteristics of Transactional Leadership (1) Contingency Reward: Contacts exchange of rewards for effort, promise rewards for good performance, recognizes accomplishments. (2) Management by Exception: Watches and searches for deviations from rules and standards, takes corrective action (3) Laissez-Faire: Abdicates responsibilities avoids making decision.

PAST QUESTION - 2023_2 Q1(b); 2022_2 Q2(a) - 15/5 marks

Question: What do you understand by transactional leadership theory?

Answer: Transactional leadership rests on a clear exchange between leader and followers. The leader explains jobs and performance standards, offers contingent rewards for acceptable work, and uses management by exception to identify departures from agreed rules and correct them. There can also be a passive or laissez-faire tendency with a failure to intervene. Unlike transformational leadership, the central emphasis is normally meeting established objectives rather than altering followers' values and aspirations.

3.4 Transformational Leadership Theory

Transformational leadership is built on top of transactional leadership- it produces level of subordinate effort and performance that go beyond what would occur with a transactional approach alone. Moreover, transformational leadership is more than charisma. The purely charismatic leader may want followers to adopt the charismatic's world view and go on further, the ability to question not only established views but evenly those established by the leader. This has its belief that the challenges facing the world in the new millennium require a new kind of leadership. Advocates of this belief describe what has been dubbed transformational leadership as consisting of two complementary roles: the mover-and -shaker and the gentle persuader. In the first, the mover -and -shakers achieves a transformation in an organization's fortunes and is, therefore, described as a transforming leader.

In the second, as a gentle persuader, the transforming leader converts followers into leaders for the good of the whole, to consider long term rather than immediate needs, and to become more aware and accepting of an organization's goal. Transformational leaders achieve performance beyond expectations through four leadership factors: charisma, inspiration, individualized consideration and intellectual stimulation. (Yalokwu, 2006). (1) Charisma: Transformational leaders use charisma to provide followers with a clear vision of a desired future state, instill pride, and gain respect and trust. (2) Inspiration: They use inspiration to excite their followers with the idea that they can achieve great things with extra effort. (3) Individualized Consideration: They demonstrate individualized consideration.

That is, they pay close attention to differences among followers, serve as mentors to those who need coaching and counseling, and treat each follower as an individual worthy of respect. (4) Intellectual Stimulation: They provide followers with intellectual stimulation by promoting new ways of looking at old problems, viewing difficulties as challenges to be met, and emphasizing creative thinking and initiative. Advocates of transformational leadership believe it can make the difference between an organization's success or failure.

PAST QUESTION - 2023_1 Q1(a) - 15 marks

Question: Differentiate between transformational leader and charismatic leader.

Answer: A charismatic leader draws followers largely through unusual personal qualities, a compelling vision and strong convictions. Followers attribute exceptional ability to that leader. A transformational leader goes further: such leadership raises followers above narrow self-interest, stimulates them to question established methods and develops them into capable contributors and possible leaders. Charisma can contribute to transformation, but transformational leadership also includes individual development, intellectual stimulation and sustained organisational change.

PAST QUESTION - 2022_2 Q1(a); 2023_1 Q2(a) - 16/20 marks

Question: Transformational leaders achieve performance beyond expectations through four (4) leadership factors. Explain.

Answer: Idealised influence (charisma): the leader earns trust and becomes an admired model. Inspirational motivation: the leader communicates an appealing future and inspires shared effort. Intellectual stimulation: followers are encouraged to challenge old assumptions and find new solutions. Individualised consideration: the leader attends to followers' individual needs, provides coaching and helps them develop. Together these factors can produce commitment and achievement beyond a simple exchange of reward for performance.

Unit Quick Revision

Charisma attracts followers; transactions exchange rewards; transformation raises commitment through four leadership factors.

UNIT 5: LEADERSHIP STYLES

1.0 Introduction

Leadership style concerns how a leader gives direction, involves followers and responds to problems. Styles range from close control to consultation and broad delegation.

3.1 Autocratic Leadership Style: It is a leadership situation where there is one-way

communication, denial or conflict, an absolute monarch with unlimited authority. It is also a situation where the enterprise is run in a very autocratic, directive manner and the entire decision making process center around the entrepreneur under authoritarian leadership, the leader is the sole determiner of what is done. Autocratic leadership style calls for high goals and means control. In other words, it implies a job-centered style. This focuses on the issue of close supervision, legitimate and coercive power, meeting schedule and evaluating work performance. This leader is very much likely to rely on the power of his position, more punishment centered and more tasks oriented. He gets works done through fear. He however, gets short-run and output gains, that is, while he is around. Thus, again in fear subordinates under this style do what they are told to do, so as not to lose the means of satisfying their daily needs and wants.

This leader tells a worker what to do and how to do it. He takes all decisions, issues, instructions and expects subordinates to follow sheepishly without questions. The autocratic leadership is dogmatic, positive and leads by ability to withhold or give rewards and punishment. The hallmark of autocratic leader is that he does not allow subordinates to participate in decision making process. It is used when leaders tell their employees what they want to do and how they want it accomplished, without getting the advice of their followers. This kind of leadership style instills fear and at times confusion in subordinates. The focus of attention usually is on work progress, work procedures and road blocks that are preventing goal attainment. Autocratic is also defined as someone who holds all authority and responsibility with communication usually moving from top to bottom. In conclusion, the style sees people as commodities to be us up and replaced as needed.

Manager using this style has complete responsibility for direction and decision making.

PAST QUESTION - 2023_2 Q4 - 20 marks

Question: Write short notes on Autocratic, Democratic, Laissez-faire and People-Oriented Leadership styles.

Answer: Autocratic: the leader centralises decisions and gives direct orders; quick decisions are possible, but initiative may be discouraged. Democratic: followers are consulted and participate in decisions; this supports commitment, although consultation takes time. Laissez-faire: the leader grants wide discretion, intervening little; skilled and responsible workers may benefit, but lack of direction can cause confusion. People-oriented: the leader places strong emphasis on employees' welfare, relationships, participation and development so people are willing and able to contribute.

3.2 Democratic Leadership Style: The leader is characterized by employee oriented and

democratically supportive behaviors. He uses general supervision and is considerate of his subordinates. He is group centered and non-directive. Under this form of leadership, the leader consults with subordinates on proposed actions and decisions and encourages participation from them. He holds final responsibility but also delegate authority to others, who participate in determining work assignments, communication is active i.e. upward and downward. It also involves the leader including one or more employees in the decision making process. However, the leader maintains the final authority in decision making. Using this style is not a sign of weakness; rather it is a sign of strength that employees will respect. It is also a very open style of running a team. Ideas move freely amongst the group and the style is needed in dynamic and rapidly changing environments where very little can be taken as a constant.

The democratic leadership style means facilitating the conversation, encouraging people to share their ideas and then synthesizing all the available information into the best possible decision. When situations changes frequently, democratic leaders offers a great deal of flexibility to ways of doing things. Democratic style can bring the best out of an experienced and professional team. It capitalizes on their skills and talents by letting them share their views, rather than simply expecting them to conform. The democratic leader welcomes team input and facilitates group discussion in decision making. This leadership styles share plans with the group and offers multiple options for group consideration. It also encourages members to work freely with each other and embrace division of tasks to the group. This leader is objective in praise and criticisms and joins group activities without over-participating.

A democratic leadership style allows for multiple view points, inputs and participation while still maintaining control and the leadership role.

3.3 Laissez-faire Leadership Style: This is the type of leadership in which the leader uses hi or

her power very little, if at all. It involves given subordinates a high degree of independence in their operations. Under this type of leadership, leaders depend largely on subordinates to set their own goals and the means of achieving them. Leaders perceive their role as one of facilitating the operations of followers by furnishing them information and acting primarily as a contact with the group's external environment. It should be noted that there is no best form of leadership as the situation will determine the most appropriate form at a point in time. Generally, the style of leadership adopted will depend on the forces operating in the manager's personality including his or her value system, confidence in subordinates, inclination toward leadership style and feelings of security in uncertain situations.

Forces in the subordinates that will affect the manager's behavior and forces in the situation such as organization values and traditions, how effectively subordinates works as a unit, the nature of a problem and whether authority to handle it can be safely delegated and the pressure of time. In this style, the dealer allows the employees to make decisions. However, the leader is still responsible for the decisions that are made. This is used when employees are able to analyze the situation and determine what needs to be done and how to do it. This is used when employees are able to analyze the situation and determine what needs to be done and how to do it. This is not a style to use so that you can blame others when things go wrong, rather this is a style to be used when you fully trust and have confidence in the people below you. A laissez-faire leadership style works best when group members are highly skilled and motivated with a proven track record of excellence.

This hands-off approach can allow these capable members to be productive and effective.

3.4 Other types of leadership styles

Other types of leadership styles have emerged from these three main types among which included: 1. Benevolent Leadership style 2. Charismatic leadership. 3. People-oriented leadership/relations-oriented leadership. 4. Servant leadership. 5. Task-oriented leadership. 6. Transactional leadership. 7. Transformational leadership (1) Benevolent leadership style: They ensure that their staff follows procedures exactly. This is a very appropriate style for work involving serious safety risks or where large sums of money are involved. (2) Charismatic Leadership Style: This can appear similar to a transformational leadership style, In that the leaders injects huge doses of enthusiasm into his or her team and is very energetic in driving others forward. However, a charismatic leader can tend to believe more in him or her than in their team. This can create a risk that a project or even an entire organization might collapse if the leader were to leave.

As such, charismatic leadership carries great responsibility and needs long-term commitment from the leader. (3) People-Oriented Leadership Style: This style of leadership is when the leader totally focuses

on organizing, supporting and developing the people in the leader's time. (4) Servant -Leadership Style: This occurs when someone at any level within an organization, leads simply by virtue of meeting the needs of his or her team. In many ways, servant leadership is a form of democratic leadership as the whole team tends to be involved in decision making. Supporters of the servant leadership model suggest it is an important way ahead in a world where values are increasingly important, in which servant leaders achieve power on the basis of their values and deals. Others believe that in competitive leadership situations, people practicing servant leadership will often find themselves left behind by leaders using other leadership styles.

(5) Task-Oriented Leadership Style: A highly task-oriented leader focuses only on getting the job done, and can be quite autocratic. However, the task-oriented leaders spare little thought for the well-being of their teams, this approach can suffer many of the flaws of autocratic leadership with difficulties in motivating and retaining staffs.

PAST QUESTION - 2021_2 Q4(a-d) - 20 marks

Question: Explain leadership style, list four leadership styles and state two merits and demerits of each of two styles.

Answer: Leadership style is the pattern of behaviour a leader uses when directing, motivating and involving followers. Four styles covered are autocratic, democratic, laissez-faire and people-oriented. AUTOCrATIC merits: speed of decision and clarity of command; demerits: reduced initiative and possible resentment. DEMOCRATIC merits: improved commitment and broader ideas; demerits: slower decision making and potential disagreement. LAISSEZ-FAIRE merits: staff autonomy and creativity; demerits: weak coordination and uncertain responsibility. No style suits every situation; the leader must assess the people, task and urgency.

Unit Quick Revision

Autocratic directs, democratic involves, laissez-faire delegates. Choose a style that fits people and circumstances.

MODULE TWO: SERVANT LEADERSHIP AND PROBLEM OF LEADERSHIP IN NIGERIA

UNIT 1: SERVANT LEADERSHIP

1.0 Introduction

Servant leadership begins with a commitment to the people being led. A servant leader measures success partly by the development, dignity and wellbeing of followers.

3.1 Overview of Servant Leadership

In the years since then, many of today's most creative thinkers are writing and speaking about servant leadership as an emerging leadership paradigm for the 21st century. The list is long and includes: James Autry, Warren Bennis, Peter Block, John Carver, Stephen Covey, Max DePree, Joseph Jaworski, James Kouzes, Larraine Matusak, Parker Palmer, M. Scott Peck, Peter Senge, Peter Vaill, Margaret Wheatley, and Danah Zohar, to name but a few of today's cutting-edge leadership authors and advocates of servant leadership. In her groundbreaking book on quantum sciences and leadership, Rewiring the Corporate Brain (1997), Zohar goes so far as to state that, "Servant-leadership is the essence of quantum thinking and quantum leadership" (p. 146).

3.2 Definition of servant leadership

Servant leadership emphasizes increased service to others, a holistic approach to work, promoting a sense of community, and the sharing of power in decision making. “A new kind of leadership model - a model which puts serving others as the number one priority. Servant- leadership emphasizes increased service to others; a holistic approach to work; promoting a sense of community; and the sharing of power in decision-making (Spears, 1996, p. 33).” Each of these central variables is explained individually below: 1. Service to Others: Servant-leadership begins when a leader assumes the position of servant in their interactions with followers. Authentic, legitimate leadership arises not from the exercise of power or self-interested actions, but from a fundamental desire to first help others. A servant-leader's primary motivation and purpose is to encourage greatness in others, while organizational success is the indirect, derived outcome of servant-leadership. 2.

Holistic Approach to Work: Servant-leadership holds that "The work exists for the person as much as the person exists for the work" (Greenleaf, 1996, p. 8). It challenges organizations to rethink the relationships that exist between people, organizations and society as a whole. The theory promotes a view that individuals should be encouraged to be who they are, in their professional as well as personal lives. This more personal, integrated valuation of individuals, it is theorized, ultimately benefits the long-term interests and performance of the organization. 3. Promoting a Sense of community: Greenleaf lamented the loss of community in modern society, calling it "the lost knowledge of these times" (1970, p. 28). Servant-leadership questions the institution's ability to provide human services, and argues that only community, defined as groups of individuals that are jointly liable for each other both individually and as a unit, can perform this function.

Only by establishing this sense of community among followers can an organization succeed in its objectives. Further, the theory posits that this sense of community can arise only from the actions of individual servant-leaders (Greenleaf, 1970, p. 30). 4.

3.3 Features of servant leaders

Servant leadership seeks to involve others in decision making, is strongly based in ethical and caring behavior, and enhances the growth of workers while improving the caring and quality of organizational life (Spears, 2010). “The servant-leader is servant first. It begins with the natural feeling that one wants to serve. Then conscious choice brings one to aspire to lead. The best test is: do those served grow as persons: do they, while being served, become healthier, wiser, freer, more autonomous, more likely themselves to become servants? And, what is the effect on the least privileged in society; will they benefit, or, at least, not be further deprived? (Greenleaf, 2002, p. 27).” The following are the characteristics of a servant leader: After some years of carefully considering Greenleaf's original writings, Spears (2002) identified a set of ten characteristics of the servant leader that are of critical importance-central to the development of servant-leaders.

This involves a deepening understanding of the following characteristics and how they contribute to the meaningful practice of servant leadership. These ten characteristics include: Listening Leaders have traditionally been valued for their communication and decision-making skills. Although these are also important skills for the servant leader, they need to be reinforced by a deep commitment to listening intently to others. The servant leader seeks to identify the will of a group and helps to clarify that will. He or she listens receptively to what is being said and unsaid. Listening also encompasses hearing one's own inner voice. Listening, coupled with periods of reflection, is essential to the growth and well-being of the servant leader. Empathy The servant leader strives to understand and empathize with others. People need to be accepted and recognized for their special and unique spirits.

One assumes the good intentions of co- workers and colleagues and does not reject them as people, even when one may be forced to refuse to accept certain behaviors or performance. The most successful servant leaders are those who have become skilled empathetic listeners. Healing The healing of relationships is a powerful force for transformation and integration. One of the great strengths of

servant leadership is the potential for healing one's self and one's relationship to others. Many people have broken spirits and have suffered from a variety of emotional hurts. Although this is a part of being human, servant leaders recognize that they have an opportunity to help make whole those with whom they come in contact.

In his essay, The Servant as Leader, Greenleaf (1977/2002) writes, "There is something subtle communicated to one who is being served and led if, implicit in the compact between servant-leader and led, is the understanding that the search for wholeness is something they share" (p. 50). Awareness General awareness, and especially self-awareness, strengthens the servant-leader. Awareness helps one in understanding issues involving ethics, power, and values.

SELF-ASSESSMENT EXERCISE

Question: Explain the meaning of servant leadership and the main characteristics of a servant leader.

Answer: Servant leadership begins with the desire to serve others, with leadership arising from that commitment. Its central test is whether people who are served grow in confidence, knowledge, independence and willingness to serve. The characteristics associated with Spears include listening, empathy, healing, awareness, persuasion, conceptualisation, foresight, stewardship, commitment to people's growth and building community. In an organisation this means developing staff, sharing decisions ethically and valuing people alongside performance.

Unit Quick Revision

Servant-first leadership values listening, empathy, stewardship and follower growth.

UNIT 2: LEADERS AS AGENT OF CHANGE

1.0 Introduction

Organisations continually face changes in technology, markets, structure and people. Leaders must understand the change process and help people accept and implement new working arrangements.

3.1 Concept of Change

Literarily, change could be defined as everything from re-engineering, right sizing, restructuring to cultural change (Kotter, 1995). According to Ajayi (2002), change is an illogical and emotional process. Arguably, Change as a process was first been conceptualized by Lewin in 1947. He divided the change as a process into three phases: (1) unfreezing-it is about readiness to change means it involves getting a point of an understanding that change is necessary and to be prepare for leaving the current state of comfort for the sake of future benefits; (2) moving-At this stage, people have to move forward to adopt a new changed setup. People are most fearful from this stage of change process as they have to leave their current comfort zone; and (3) refreezing. At last, change is accepted as a new norm in an organization and now the change is a part of routine process (Zaccaro, 2007).

In addition, Lewin also suggested that although common sense might bend toward increasing powerful forces to persuade change, in many illustrations this might arouse an equal and opposite increase in resisting forces, the net effect being no change and greater tension than before (Gans,2011). Consequently, since we know what change is, then , what is change management? Nikols, (2016) defined change management in four basic dimensions: (a) The task of managing change: The first and most obvious definition of "change management" is that the term refers to the task of managing change. The obvious is not necessarily unambiguous. Managing change is itself a term that has at least two meanings. One meaning of "managing change" refers to the making of changes in a planned and managed or systematic fashion. The aim is to more effectively implement new methods and systems in an ongoing organization.

(b) An area of professional practice: Today, change management has become an area for scholars to study. In almost all cases, the process of change is treated separately from the specifics of the situation. It is expertise in this task of managing the general process of change that is laid claim to by professional change agents. (c) A body of Knowledge: Stemming from the view of change management as an area of professional practice there arises yet a third definition of change management: the content or subject matter of change management. This consists chiefly of the models, methods and techniques, tools, skills and other forms of knowledge that go into making up any practice. (d) A control Mechanism: consisting of requirements, standards, processes and procedures. This last functional definition of change management helps to explain the dynamics of what a true change management procedure should be.

Additionally, Change management is a process that includes various skills i.e., leadership development (ability of top management to get trust of internal customers in them), marketing and sales ability (to make awareness about the consequences of change) and communication skill (gather support for the decision to change (Kaminski, 2000).

PAST QUESTION - 2024_2 Q3(a); 2021_2 Q2(a) - 10/20 marks

Question: Define change management by using the four basic dimensions of Nikols (2016).

Answer: Change management is viewed in four related senses: a body of knowledge containing theories and methods for understanding change; an area of professional practice involving the task of carrying out change; a control mechanism used to manage the transition from present to desired conditions; and a change process in which people, systems and organisational routines are moved to a new state. These dimensions show that managing change involves both technical planning and helping people adjust.

PAST QUESTION - 2025_1 Q5 - 15 marks

Question: Elaborate more on the following basic dimensions of change management: a body of knowledge, the task of managing change and a control mechanism.

Answer: As a body of knowledge, change management offers concepts, methods and experience that explain how organisations move from existing arrangements to improved ones. As a management task, it requires planning the transition, communicating the reason for it, allocating responsibilities and monitoring implementation. As a control mechanism, it introduces measures and procedures to ensure that the intended alteration is completed and harmful disruption is managed. These dimensions are closely related, not three disconnected activities.

3.2 Leaders as Change Agent

Modern Leaders function as change agent, a reason why business organisations prefer to recruit leaders in the place of managers. This is possible since leaders possess soft skills i.e emotional intelligence, conceptual and human relations skills. To manage change means to remain competitive and attractive in the face of challenges (Zaccaro, 2007). However, possessing skills of managing change have been linked to organizational successes. More so, to perfectly implement change process without resistance, the change leader needs to develop following capabilities: superhuman determination to make the change happen; persistence; stamina; sufficient mandate that stems from personal change; and first-rate intelligence (Ajayi, 2002). Evidently, lack of understanding of change implementation techniques and the inability to modify one's management style or organizational functions are cited as barriers to success (Bossidy & Charan, 2002; Gilley, 2005).

However, leaders as agent of change must exhibit the following qualities: (1) Coaching Coaching is the process of improving performance by developing synergistic relationships with employees through training, counseling, confronting, and mentoring (Gilley & Boughton, 1996). It is designed to maximize employee strengths and minimize weaknesses (Hill, 2004), resulting in improved performance due to greater awareness (Whitmore, 1997). Coaching skills enable leaders to question the status quo, approach situations from new perspectives, and allow others to make and learn from mistakes (Hudson

(1999). (2) Communication Informing subordinates about impending change is vital if the change process must be successful. Leaders are responsible for __communicating to the organization the risks in clinging to the status quo and the potential rewards of embracing a radically different future'' (Denning, 2005: 12).

Leadership ambivalence weakens claims of legitimacy for change and enables recipients to cling to reasons for resistance (Larson & Tompkins, 2005). Consequently, communications should be frequent and enthusiastic (Lewis, Schmisseur, Stephens, & Weir, 2006), while leaders simultaneously curb their bias toward unrealistic tendencies (Lovallo & Kahneman, 2003). Leaders as change agents must provide employees with abundant, relevant information with regard to impending changes, justify the appropriateness and rationale for change, address employees' questions and concerns, and explore ways in which change might affect recipients in order to increase acceptance and participation (Green, 2004; Rousseau & Tijoriwala,1999). Appropriate communications provide employees with feedback and reinforcement during the change (Peterson & Hicks, 1996). (3) Involving Others Involving employees in change decision making is paramount if you are prepared for such change resistance.

Employee involvement (EI) increases workers' input into decisions that affect their well-being and organizational performance (Glew, O'Leary- Kelly, Griffin, & Van Fleet, 1995). Lawler, Mohrman, and Ledford's (1982) long-term study of Fortune 1000 firms revealed positive trends in use of employee involvement programmes within these firms, along with a growing number of employee participation in EI programs. Specifically, successful change implementation requires a facilitative management style that ensures that communication (including coaching, information sharing, and appropriate feedback) mechanisms are in place, worker involvement flourishes, and social networks (teams and collaboration) are supported (Denning, 2005; Drucker, 1999; Williams, 2001).

(4) Motivation Motivation is the influence or drive that causes us to behave in a specific manner and has been described as consisting of energy, direction, and sustainability (Kroth, 2007).

PAST QUESTION - 2024_2 Q3(b); 2021_2 Q2(b) - 10/20 marks

Question: Explain qualities that leaders who are agents of change must exhibit.

Answer: Important requirements include coaching, communication, encouraging participation, sensitivity to workers' concerns and persistence. Effective change agents also need determination, stamina, adequate authority, sound judgement and the ability to manage resistance. A change leader should explain the need for alteration, involve those affected, provide guidance and help employees acquire the capacity to operate successfully in the new arrangement.

Unit Quick Revision

Lewin: unfreeze, move, refreeze. Change agents coach, communicate, persist and support staff.

UNIT 3: PROBLEM OF LEADERSHIP IN NIGERIA

1.0 Introduction

Weak leadership practices can undermine organisational and national performance. The central lesson is that responsibility, competence and ethical example are necessary for public and organisational progress.

3.1 MAJOR PROBLEM OF LEADERSHIP IN NIGERIA

After a careful examination of the leadership history in Nigeria, Achebe (1983) opines that: The trouble with Nigeria is simply and squarely a failure of leadership. There is nothing with the Nigerian land or climate or water or air or anything else. The Nigerian problem is the unwillingness or inability of its leaders to rise to its responsibility, to the challenge of personal example which is the hallmarks of true

leadership. This Nigeria leadership problem has the following elements that better describes it: (1) Incompetency and Mediocrity: Since independence, Nigeria's presidency has been occupied by men who are grossly incompetent and lack political will to put things straight and right. No one can give what he didn't have. They are theoreticians than practitioners. They intentionally appoints mediocre to work with them just to loot the treasury without query.

Repeatedly, many of Nigeria's leaders picks mediocre as successors just to have a clean track record after committing crimes that are above the laws. But this is grossly not sustainable, the Nigeria's economic soul cries for rescue. A times, one begins to wonder how did we get here? How can it be so difficult for a country richly endowed like Nigeria with both human and material resources in plethora to have a true leadership of hope like what was experienced in Singapore under Sir Lee Kwan Yew? (2) Ethnicity and Tribalism: The three largest groups (Hausa-Fulani, Igbo, and Yoruba) have virtually nothing in common politically, socially, or historically. The overwhelming majority of Nigerians only speak their "home" language, and if they learn another, it is invariably English and not one of the other indigenous tongues.

History of ethnic bigotry in Nigeria can be traced back to 1946, during the colonial era when Sir Arthur Richard, Nigeria then Governor General introduced a Regional Government. He divided Nigeria into NEW. An acronym that stands for Northern, Eastern and Western Nigeria. With each region headed by a Premier. This was the origin of regional government (Oduguwa, 2012). Ever since, Nigerians have seen themselves in the light of these regional nations than as Nigerians. The major ethnic groups (Hausa/Fulani, Yoruba and Igbos) continually get hold of leadership, installing their kinsmen into delicate positions and improving the lives of their micro-nation (tribe) than the generality of the Nigerian people. (3) Mono-economy: Since Oil was discovered on Sunday 15 January 1956 at Oloibiri Oilfield by Shell Darcy, Nigeria has depended on it solely by neglecting her previous foreign exchange brands i.e Cocoa, wool, Coal, groundnut, fish etc.

At the discovery of all, everyone jubilated that the era of want should soon be over. But the opposite was the case. Some has argued that Oil killed the giant in Nigeria. Since its discovery, Nigeria has been plunged into a number of leadership related problem i.e greed, egocentrism, intolerance, fraud, misappropriation and diversion of national fund for personal use, oil theft and financial stealing etc. This mono dependent on Oil later creates a negative multiplier effects by increasing the rate of unemployment, insecurity as a result of idleness, prostitution, wants, and lackry. (4) Greed and Financial Corruption: Cases of corruption, misappropriation and greed has been well established in Africa's most populous nation-Nigeria. This has historical antecedents from the colonial masters, the defunct regional government, then military regime and the republics.

According to Igbokwe-Ibeto & Okoye (2014), since gaining independence in 1960, most Nigerian leaders have not clearly demonstrated sense of genuine national development. They went further to argue that most African leaders plunder, defraud, embezzle and mismanage their countries human and natural resources with so much impunity. They are possessive, egoistic, selfish, individualistic, callous, greedy and secretive that transparency and accountability has no place in their administration and management of common and collective wealth (Igbokwe-Ibeto & Okoye, 2014). Similarly, Adebanjo (2008) gave an insight that an estimated $380 billion of the country's collective wealth was stolen by its post-independence leaders: about two- thirds of all economic aids given to Africa during this period. Also, the regime of Ibrahim Babangida was unable to account for $12.4 billion of missing oil revenues that were part of a windfall from the 1991 Gulf War (Apter, 2005).

Corruption is an evil wind that affects everyone and retard societal progress. That is what corruption is presently doing to Nigeria. See a country like Singapore, former third world nation becoming first world nation in few decades. Yet not as blessed and popular as Nigeria. Nigeria's leaders using poverty as bait to win political elections. Although corruption and fraud are universal problems for all government and

all countries, the magnitude seems to be at its peak in the giant of Africa - Nigeria. This social ill takes the form of kickbacks, payoffs, bribery scandal, etc which endangers progress of any society (Ikejiani & Clark, 2001). It is no longer doubtful that leadership characterized by non adherence to the constitution, corruption, poor educational background as well as political recycling of leaders with questionable character, adversely affects service delivery to the people (Igbokwe-Ibeto & Okoye, 2016).

(5) Insincerity and hypocrisy: One of the major problems identified under poor leadership in Nigeria is the insincerity of mind and action of its leaders. Nigeria for the past 56 years has been unlucky, very unlucky to have crop of opportunists than leaders whose only interest is their pocket. Nigeria leaders often prefer everything to go bad and wrong than to arrest the anticipated issue before it gets out of hand. They are never sincere since the sufferings of Nigerians means nothing to them. For instance, during former President Obasanjo's term in office, he established EFCC to fight corruption in the land. Many of the Nigeria's citizens saw this as a good step in the right direction. Few years after, it was disappointing top realized that this EFCC was not created with genuine intention. It was only a tool to fight enemies of the president not enemies of the Nigerian state.

This is hypocrisy! The EFCC repeatedly has been involved in cases of selective justice, where the most corrupt of all men lives freely in the public eye just because they are Mr. President's friend. Successive governments after Obasanjo have followed suit. Presently, the Buhari regime has been grossly criticised for same selective justice. Fighting enemies and not friends, with hundreds of rogues in his cabinet. Those who must come to equity must come with clean hands. This worrisome situation demands urgent attention. The quintessential question to then ask is, why do Nigerians still vote for this recycled sets of people? (6) Lack of National Identity: Every government for itself. A Judas in the last government is a saint in the new government. No sense of nationhood but cabalism. Go to America, England, China and even Ghana, you will see true sense of nationhood. Where a citizen will tell you _I am a Ghanaian... American... British etc' This is not so in Nigeria.

Nigeria's presidents are often identified with their tribal and religion identities in dressing, appointments and deeds. Most of Nigeria's leaders are insensitive and or carefree. To then worsen the case, they prefer to even be identified with their political party and even inner caucus within the micro-segment of the party. Leadership anywhere in the world cannot work in isolation of delegation of authority and responsibility.

PAST QUESTION - 2023_1 Q3; 2021_2 Q1(c) - 20/30 marks

Question: Explain five major problems of leadership in Nigeria.

Answer: The major concerns include incompetence and mediocrity, corruption and misuse of public resources, weak commitment to responsibility and exemplary conduct, ethnicity and favouritism, and lack of vision or continuity of sound policies as problems affecting leadership. Other problems discussed include disregard for accountability and poor institutional performance. Their practical consequences include weakened public trust, misuse of resources and difficulty implementing development programmes. An effective leader should counter these tendencies through competence, fairness, integrity and service-minded accountability.

Unit Quick Revision

Competence, integrity, fairness, vision and accountability are practical answers to leadership weaknesses.

MODULE THREE: CORPORATE GOVERNANCE

UNIT 1: MEANING, OBJECTIVES AND ELEMENTS OF EFFECTIVE CORPORATE GOVERNANCE

1.0 Introduction

Corporate governance deals with the arrangements through which organisations are directed, controlled and held accountable. These arrangements connect investors, directors, managers and other stakeholders.

3.1 Meaning of Corporate Governance

Providers of corporate finance, whether they are individuals or pension funds, mutual funds, banks or other financial institutions, or even governments require assurances that their investments will be protected and will generate returns. These assurances are at the heart of what effective corporate governance is all about (Mengistae & Xu, 2004). This definitional range underscores the reality that corporate managers, directors and investors all function within a larger business and legal environment that shapes behavior. But no matter what the definition, at its heart, corporate governance concerns the means by which a corporation assures investors that it has well-performing management in place and that corporate assets provided by investors are being put to appropriate and profitable use (Coopers, 2007). The concept of corporate governance is gaining momentum because of various factors as well as the changing business environment.

The EEC, GATT and WTO regulations have also contributed to the rising awareness and are compelling us to think in terms of adhering to the good governance practices. Corporate governance, by the very nature of the concept, cannot be exactly defined. However, there can be no two opinions that "effective accountability to all shareholders is the essence of corporate governance (Mengistae & Xu, 2004)." The following definition should help us to understand the concept better. "Corporate governance is not just corporate management; it is something much broader to include a fair, efficient and transparent administration to meet certain well-defined objectives (Bryan, Nash & Patel, 2002).

It is a system of structuring, operating and controlling a company with a view to achieve long term strategic goals to satisfy shareholders, creditors, employees, customers and suppliers, and complying with the legal and regulatory requirements, apart from meeting environmental and local community needs (Mengistae & Xu, 2004). When it is practiced under a well-laid out system, it leads to the building of a legal, commercial and institutional framework and demarcates the boundaries within which these functions are performed (Coopers, 2007)." Corporate governance cannot disregard the diverse interests - shareholders, lenders, employees, government, etc. It is believed that shareholders would increasingly assert their rights, hitherto virtually unknown;

PAST QUESTION - 2021_2 Q1(a); 2024_1 Q3(a); 2025_1 Q4 - 5/15 marks

Question: Define corporate governance from the narrow and broad perspectives.

Answer: In the narrow sense, corporate governance concerns the relations between corporate managers, directors and shareholders, especially the way owners supervise management. Broadly, it is the system of laws, regulations, listing requirements, organisational structures and voluntary practices that enables a company to attract finance, operate efficiently, fulfil its obligations and meet legitimate expectations of stakeholders and society. Both meanings emphasise responsible control, accountability and appropriate use of corporate assets.

3.2 Objectives of Corporate Governance

Good governance is integral to the very existence of a company. It inspires and strengthens investor's confidence by ensuring company's commitment to higher growth and profits. It seeks to achieve following objectives: 1. A properly structured Board capable of taking independent and objective decisions is in place at the helm of affairs; 2. The Board is balanced as regards the representation of adequate number of non-executive and independent directors who will take care of the interests and well-being of all the stakeholders; 3. The Board adopts transparent procedures and practices and arrives at decisions on the strength of adequate information; 4. The Board has an effective machinery to sub serve the concerns of stakeholders; 5. The Board keeps the shareholders informed of relevant

developments impacting the company; 6. The Board effectively and regularly monitors the functioning of the management team; 7.

The Board remains in effective control of the affairs of the company at all times. The overall endeavor of the Board should be to take the organization forward, maximize long- term values and shareholders' wealth.

PAST QUESTION - 2023_1 Q4(a); 2024_1 Q3(b) - 7/10 marks

Question: Enumerate seven objectives of corporate governance.

Answer: The main objectives include protecting shareholders' investments and rights; establishing accountability of directors and managers; promoting transparency and reliable disclosure; securing effective corporate performance; preventing misuse of corporate resources; maintaining ethical and lawful conduct; and building confidence among investors, employees and other stakeholders. They work together: transparent reporting and independent oversight make it easier to protect capital and achieve durable organisational results.

3.3 Elements of Effective Corporate Governance

Corporate governance practices vary across nations and firms, and this variety reflects not only distinct societal values, but also different ownership structures, business circumstances and competitive conditions. It may also reflect differences in the strength and enforceability of contracts, the political standing of shareholders and debt holders, and the development and enforcement capacity of the legal system (Coopers, 2007). In developed countries, the discussion of corporate governance improvement tends to assume in place well-developed and well-regulated securities markets; laws that recognize shareholders as the legitimate owners of the corporation and require the equitable treatment of minority and foreign shareholders; enforcement mechanisms through which these shareholder rights can be protected; securities, corporate and bankruptcy laws to prevent bribery that enable corporations to transform -- to merge, acquire, divest and downsize -- and even to fail;

anti-corruption laws to prevent bribery and protections against fraud on investors; sophisticated courts and regulators; an experienced accounting and auditing sector, and significant corporate disclosure requirements (Bryan, Nash & Patel, 2002). Developed countries are also more likely to have well-developed private sector institutions, such as organisations of institutional investors, and professional associations of directors, corporate secretaries and managers, as well as rating agencies, security analysts and a sophisticated financial press (Qi,Wu & Zhang, 2000). Many developing and emerging market nations have not yet fully developed the legal and regulatory systems, enforcement capacities and private sector institutions required to support effective corporate governance (Mengistae & Xu, 2004). Therefore, corporate governance reform efforts in these nations often need to focus on the fundamental framework.

Reform needs vary, but often include basic stock exchange development, the creation of systems for registering share ownership, the enactment of laws for basic minority shareholder protection from potential self-dealing by corporate insiders and controlling shareholders, the education and empowerment of a financial press, the improvement of audit and accounting standards, and a change in culture and laws against bribery and corruption as an accepted way of doing business (Mengistae & Xu, 2004). In addition to differences in the development of legal and regulatory systems and private institutional capacity, nations differ widely in the cultural values that mould the development of their financial infrastructure and corporate governance (Allen and Qian, 2005). These differences in culture may make certain concepts difficult to accept. For example, concern in some Asian cultures with personal integrity and reputation can pose barriers to the concept of bankruptcy.

Likewise, the long history of communism in Russia may have impacted that culture understands of property rights. Ultimately, corporate governance and the framework that supports it must have relevance to a nation's own unique legal environment and cultural values.

PAST QUESTION - 2024_1 Q3(c); 2021_2 Q1(b) - 8 marks

Question: Briefly explain the four elements of effective corporate governance.

Answer: The elements emphasised in the material are fairness, transparency, accountability and responsibility. Fairness requires equitable treatment of owners and other legitimate interests. Transparency requires timely, accurate information about activities and results. Accountability means decision makers must explain their actions and accept scrutiny. Responsibility requires directors and managers to act diligently, within law and according to recognised ethical obligations. Together they support sustainable company performance.

Unit Quick Revision

Corporate governance joins investors, directors and managers through fairness, accountability, responsibility and transparency.

UNIT 2: WHY CORPORATE GOVERNANCE MATTERS AND CORPORATE GOVERNANCE THEORIES

1.0 Introduction

Corporate governance theories offer different explanations of why companies need oversight, whom managers should serve and how organisations obtain trust and resources. Their emphases differ, but each addresses responsible corporate control.

3.1 Corporate Governance Theories

For the purpose of this paper various corporate governance theories have been reviewed: agency, stakeholders and resource dependency theory, stewardship theory, social contract theory legitimacy theory and political theory.

PAST QUESTION - 2023_2 Q3; 2025_2 Q4(a) - 20/10 marks

Question: Explain why corporate governance matters.

Answer: Effective corporate governance protects investors from misuse of their funds, makes directors and managers answerable for performance, supports accurate disclosure and improves organisational decisions. It strengthens the confidence of lenders and shareholders, reduces the likelihood of conflicts between owners and agents, and encourages ethical treatment of other stakeholders. Because firms rely on continued access to investment and public trust, sound governance contributes to their survival, reputation and long-term ability to create value.

3.1.1 Agency Theory

Much of the research into corporate governance derives from agency theory (see Figure 1). Since the early work of Berle and Means in 1932, corporate governance has focused upon the separation of ownership and pedals which results in principal-agent problems arising from the dispersed ownership in the modern corporation. They regarded corporate governance as a mechanism where a board of directors is a crucial monitoring device to minimize the problems brought about by the principal-agent relationship. In this context, agents are the managers, principals are the owners and the boards of directors act as the monitoring mechanism (Mallin, 2004). Moreover, literature on corporate governance attributes two factors to agency theory. The first factor is that corporations are reduced to two participants, managers and shareholders whose interests are assumed to be both clear and consistent.

A second notion is that humans are self- interested and disinclined to sacrifice their personal interests for the interests of the others (Daily, Dalton & Cannella, 2003). The agency role of the directors refers to the governance function of the board of directors in serving the shareholders by ratifying the

decisions made by the managers and monitoring the implementation of those decisions. This role has been examined in a large body of literature (Fama & Jensen, 1983; Baysinger & Butler, 1985; Lorsch & MacIver, 1989; Baysinger & Hoskisson, 1990; Daily & Dalton, 1994).

3.1.2 Stakeholder Theory

This theory centers on the issues concerning the stakeholders in an institution. It stipulates that a corporate entity invariably seeks to provide a balance between the interests of its diverse stakeholders in order to ensure that each interest constituency receives some degree of satisfaction (Abrams, 1951). However, there is an argument that the theory is narrow (Coleman, 2008: 4) because it identifies the shareholders as the only interest group of a corporate entity. However, the stakeholder theory is better in explaining the role of corporate governance than the agency theory by highlighting different constituents of a firm (Coleman, 2008: 4). With an original view of the firm the shareholder is the only one recognized by business law in most countries because they are the owners of the companies. In view of this, the firm has a fiduciary duty to maximize their returns and put their needs first.

In more recent business models, the institution converts the inputs of investors, employees, and suppliers into forms that are saleable to customers, hence returns back to its shareholders. This model addresses the needs of investors, employers, suppliers and customers. Pertaining to the scenario above, stakeholder theory argues that the parties involved should include governmental bodies, political groups, trade associations, trade unions, communities, associated corporations, prospective employees and the general public. In some scenarios competitors and prospective clients can be regarded as stakeholders to help improve business efficiency in the market place.

PAST QUESTION - 2024_1 Q4(a); 2025_2 Q4(b) - 10 marks

Question: Distinguish between stakeholder theory and stewardship theory under corporate governance.

Answer: Stakeholder theory asks directors to consider the interests of several affected groups - shareholders, employees, customers, suppliers, communities and others - rather than treating shareholders as the only concern. Stewardship theory assumes managers can be trustworthy stewards who identify with the organisation and act in owners' best interests. The first broadens the groups whose interests should be balanced; the second explains a management relationship based on trust, commitment and responsible service rather than constant suspicion.

PAST QUESTION - 2023_1 Q4(b); 2024_1 Q4(b) - 10 marks

Question: Write a note on stakeholder theory and the criticism advanced by Jensen (2001).

Answer: Stakeholder theory recognises that corporate decisions affect more than investors and seeks a balance among different constituencies. Its practical strength is sensitivity to employee welfare, customers and long-term relationships. Jensen's criticism is that requiring managers to maximise many different objectives without an accepted basis for choosing between them can make accountability unclear. The issue is how a company can respect stakeholder interests while maintaining a definite measure of organisational performance and managerial responsibility.

3.1.3 Resource Dependency Theory

The basic proposition of resource dependence theory is the need for environmental linkages between the firm and outside resources. In this perspective, directors serve to connect the firm with external factors by co-opting the resources needed to survive (Pfeffer and Salancik, 1978). Thus, boards of directors are an important mechanism for absorbing critical elements of environmental uncertainty into the firm. Williamson (1985) held that environmental linkages or network governance could reduce transaction costs associated with environmental interdependency. The organization's need to require resources and these leads to the development of exchange relationships or network governance between organizations. Further, the uneven distribution of needed resources results in interdependence in organizational relationships. Several factors would appear to intensify the character of this dependence, e.g.

the importance of the resource(s), the relative shortage of the resource(s) and the extent to which the resource(s) is concentrated in the environment (Donaldson and Davis, 1991). Additionally, directors may serve to link the external resources with the firm to overwhelm uncertainty (Hillman, Cannella Jr & Paetzols, 2000), because managing effectively with uncertainty is crucial for the existence of the company.

3.1.4 Stewardship Theory

In contrast to agency theory, stewardship theory (see Figure 3) presents a different model of management, where managers are considered good stewards who will act in the best interest of the owners (Donaldson & Davis, 1991). The fundamentals of stewardship theory are based on social psychology, which focuses on the behavior of executives. The steward's behavior is pro- organizational and collectivists, and has higher utility than individualistic self-serving behavior and the steward's behavior will not depart from the interest of the organization because the steward seeks to attain the objectives of the organization (Davis, Schoorman & Donaldson, 1997). According to Smallman (2004), where shareholder wealth is maximized, the steward's utilities are maximized too, because organizational success will serve most requirements and the stewards will have a clear mission. He also states that, stewards balance tensions between different beneficiaries and other interest groups.

Therefore stewardship theory is an argument put forward in firm performance that satisfies the requirements of the interested parties resulting in dynamic performance equilibrium for balanced governance. Stewardship theory sees a strong relationship between managers and the success of the firm, and therefore the stewards protect and maximize shareholder wealth through firm performance.

PAST QUESTION - 2024_2 Q4; 2021_2 Q5 - 20 marks

Question: Explain social-contract and stewardship theories of corporate governance.

Answer: Social-contract theory regards the firm as operating within a set of obligations between society and its members; in exchange for permission to operate and enjoy public resources, the company must respect social expectations. Stewardship theory pictures managers as individuals who, when properly supported, will protect owners' interests and pursue collective goals. The former emphasises legitimacy and the wider social relationship; the latter emphasises managerial commitment, trust and the proper use of discretion.

3.1.5 Social Contract Theory

Among other theories reviewed in corporate governance literature social contract theory, sees society as a series of social contracts between members of society and society itself (Gray, Owen & Adams 1996). There is a school of thought which sees social responsibility as a contractual obligation the firm owes to society (Donaldson 1983). An integrated social contract theory was developed by Donaldson and Dunfee (1999) as a way for managers make ethical decision making, which refers to macro-social and micro-social contracts. The former refers to the communities and the expectation from the business to provide support to the local community, and the latter refers to a specific form of involvement.

3.1.6 Legitimacy Theory

Another theory reviewed in the corporate governance literature is legitimacy theory. Legitimacy theory is defined as "a generalized perception or assumption that the actions of an entity are desirable, proper, or appropriate with some socially constructed systems of norms, values, beliefs and definitions" (Suchman, 1995). Similar to social contract theory, legitimacy theory is based upon the notion that there is a social contract between the society and an organization. A firm receives permission to operate from the society and is ultimately accountable to the society for how it operates and what it does, because society provides corporations the authority to own and use natural resources and to hire employees (Deegan, 2004). Traditionally profit maximization was viewed as a measure of corporate performance. But according to the legitimacy theory, profit is viewed as an all-inclusive measure of

organizational legitimacy (Ramanathan, 1976).

The emphasis of legitimacy theory is that an organization must consider the rights of the public at large, not merely the rights of the investors.

3.1.7 Political Theory

Political theory brings the approach of developing voting support from shareholders, rather by purchasing voting power. Hence having a political influence in corporate governance may direct corporate governance within the organization. Public interest is much reserved as the government participates in corporate decision making, taking into consideration cultural challenges (Pound, 1983). The political model highlights the allocation of corporate power, profits and privileges are determined via the governments' favour. The political model of corporate governance can have an immense influence on governance developments. Over the last decades, the government of a country has been seen to have a strong political influence on firms. As a result, there is an entrance of politics into the governance structure or firms' mechanism (Hawley and Williams, 1996).

PAST QUESTION - 2022_2 Q4(b); 2021_2 Q5 - 10/20 marks

Question: Explain legitimacy theory, political theory, agency theory and resource dependency theory.

Answer: Legitimacy theory holds that a firm survives by behaving consistently with society's values and expectations. Political theory focuses on how shareholder voting, support and influence shape corporate power. Agency theory examines conflicts that arise when owners appoint managers whose personal interests may differ from shareholders' interests; monitoring and incentives help reduce the conflict. Resource dependency theory views directors as links to capital, information, expertise and other outside resources that the company needs for survival and performance.

Unit Quick Revision

Agency: owners versus managers; stakeholder: multiple affected groups; stewardship: trusted managers; social contract: society.

UNIT 3: RESPONSIBILITIES AND FUNCTIONS OF A BOARD OF DIRECTORS

1.0 Introduction

The board of directors is central to the governance framework. It sets the strategic direction, supervises executives and ensures the business meets its obligations to owners and relevant stakeholders.

3.1 Responsibilities

Allen, (2015). Opined that the following are the major responsibility of board of directors: 1. The board of directors should be in firm control of the affairs of the company in a lawful, efficient and effective manner, such that the organization may increasingly improve on its value creation; and 2. The board should, with due regard to the other stakeholders' interests, ensure that the Value created is shared among the interested parties such as the shareholders and employees. 3. The board should ensure transparency, accountability, equity and fairness among all organisations' players.

3.2 Functions

Bainbridge, (2013) identified the functions of the board of directors.This include, but not limited to, the following: 1. Strategic planning 2. Selection, performance appraisal and compensation of senior executive members; 3. Succession planning 4. Communicating with the shareholders 5. Ensuring the integrity of financial controls and reports; and 6. Ensuring that ethical standards are maintained and that the company complies with the laws of Nigeria. The chairman's primary responsibility is to ensure effective operation of the board and as much as possible distance himself from the day-to-day running of

the company which is the primary responsibility of the chief executive officer and management team. a. The board is the main custodian of the corporation's accountability; and b. It moderates the conflicting interests of the stakeholders.

PAST QUESTION - 2025_2 Q5(a) - 6 marks

Question: Identify six functions of the board of directors.

Answer: The board's functions include strategic planning, monitoring executive performance, approving major policies and budgets, appointing and evaluating senior management, safeguarding company assets and ensuring financial accountability. Other functions include to risk oversight, legal compliance, succession and reporting. The board directs and supervises rather than carrying out every daily operation itself.

3.3 Composition of Board of Directors

According to Adams, Hermalin, Weisbach, Forthcoming, (2012), the following are identified composition of an efficient Board of Directors: 1. The board should be composed in such a way as to ensure the diversity of experience, without compromising compatibility, integrity, availability and independence; 2. Membership of the board should rest on the following attributes: Uprightness in character; • Distinctive competencies; • Knowledge on board matters; • Entrepreneurial bias; and • Sense of accountability, integrity, commitment to the task of corporate and institutional building. 3. The position of the chairman and chief executive officer should ideally be separated and held by different persons; 4. There should be a strong non-executive independent director as vice chairman of the board, where the position of the chairman and chief executive officer are combined in one individual.

The board member remuneration policy should be supported by full and effective disclosure, in consonance with the spirit and intent of the Companies and Allied Matters Act (Cap. C20, LFN. 2004) and Code of Corporate Governance in Nigeria, 2003. A good corporate governance calls for a solid theoretical framework which recognizes and manages risks. According to Aggarwal, et al, (2008) a sound and imaginative process of risk oversight and management and internal control are invaluable for corporate survival, particularly in the face of global economic and financial crisis.

3.4 The Role of Shareholders

According to Beasley, (1996). The following are identified rights and privileges of shareholders: 1. The company, through the directors, should ensure that shareholders' statutory and general rights are protected every time; 2. It should be the responsibility of the shareholders to elect directors and approve the terms and conditions of their directorship positions; 3. The venue of the annual general meeting should be carefully chosen such that the shareholders could attend and vote and not be disenfranchised as a result of distance and cost; 4. Before the annual general meeting, notices should be dispatched at least 21 working days, with such details and annual reports, audited financial statements and other information that would enable the shareholders to vote properly on any issue. 5. A separate resolution should be proposed by the board at the general meeting on each substantive issue in such a way that they could be voted for in an organized manner; 6.

The board has to ensure that decisions reached at the general meetings are implemented; 7. There ought to be at least one director on the board to represent minority shareholders; 8. Unless they are in a competing business or have conflicts of interest that warrant their exclusion, shareholders holding more than 20% of the total issued share capital of the company should have a representative on the board; 9. The board should ensure equal treatment for all shareholders, such that none is given preferential treatment or superior access to information or other materials; and 10. The annual general meeting should be recognized by the board as the most potent avenue to communicate with the shareholders and encourage their participation.

PAST QUESTION - 2025_2 Q5(b) - 10 marks

Question: Shareholders should enjoy some rights and privileges. Itemise ten such rights.

Answer: Shareholders should be able to elect directors; vote on important company resolutions; receive proper notice of general meetings; attend and participate in meetings; obtain relevant annual reports and audited statements; be treated fairly without unreasonable disenfranchisement; receive lawful dividends when declared; obtain information needed for informed voting; approve significant matters presented to members; and seek protection of their statutory ownership rights. Particular emphasis falls on access to information, effective voting and suitable meeting arrangements.

3.5 The Role of Audit Committee

The Companies and Allied Matters Act, 1990 states that a public limited liability company should have an audit committee (maximum of six equal representation of three members each representing the management/directors and shareholders) in place (Bar-Gill et al, 2013). The members are expected to be conversant with basic financial statements. The committee has the following objectives: 1. Increasing public confidence in the credibility and objectivity of published financial statements 2. Assisting the directors, especially the non-objective directors, in meeting their responsibilities of financial reporting 3. Strengthening the independent position of a firm's external auditors by providing an additional channel of communication.

3.6 Qualification and Experience of Members of an Audit Committee

Aggarwal, et al, (2008) argued that a good and effective audit committees' member must possess the following qualifications and experience: 1. Members of an audit committee should be able to read and understand basic financial statements and make valuable contributions to the committee's deliberation; 2. An audit committee should review not only external auditor's report but also, most importantly, the report of the internal auditor; 3. Members of the committee should possess the following qualities: • Integrity; • Dedication; • Thorough understanding of the business, its products and services; • Reasonable knowledge of the risks facing the company and the essential controls which it has in place; • Ability to offer new or different perspective and constructive suggestions; and Inquisitiveness and dependable judgment. Corporations owe a number of legal, social and moral obligations to non-shareholder stakeholders.

Examples of the stakeholders are employees, communities and customers/clients. It is held fervently that companies can create value by optimally managing social, natural, human and other forms of capital (Adams, et.al, 2012). Most companies are subject to a number of legal specifications such as trade practices, occupational health and safety, consumer protection and effluent discharge control. In orderly societies, directors and members of top management are held personally answerable for exhibiting corporate behavior which runs counter to the laid down norms.

PAST QUESTION - 2025_2 Q5(c) - 4 marks

Question: Highlight four qualities of members of the audit committee.

Answer: Audit committee members should possess integrity, dedication, ability to read and understand basic financial statements, and sound judgement. An effective committee also requires an understanding of the business and its risks, inquisitiveness, independence of mind and willingness to make constructive suggestions. These qualities enable the committee to evaluate internal and external audit reports meaningfully.

Unit Quick Revision

Board: direct, supervise and account. Shareholders: information, meetings and voting. Audit committees: independent review.

UNIT 4: BASIC PRINCIPLES OF OECD AND CORPORATE GOVERNANCE IN PRACTICE

1.0 Introduction

Corporate governance principles explain how shareholders, boards and stakeholders can relate fairly and transparently. Their practical importance is shown in board oversight, disclosure and investors' participation.

3.1 Principles of OECD

Task Force on Corporate Governance comprised of representatives from the 29 OECD member nations as well as interested international organisations, and business and labor representatives. The Task Force also sought input from non-OECD nations (as well as broader public comment through its web site). In April of 1999 the Task Force issued a set of corporate governance principles that embody the consensus views of the Task Force members on the fundamentals. These Principles build on the four essentials articulated by the OECD Business Sector Advisory Group (Bar-Gill, Barzuza, & Bebchuk, 2013). While they are intended to be non-binding, they provide thoughtful guidance to nations seeking to improve corporate governance (Beasley,2013). Fairness: The OECD Principles expand on the concept of "fairness" with two separate principles.

Principle I states that: "The corporate governance framework should protect shareholders' rights." Generally, this Principle recognizes that shareholders are property owners, and as owners of a legally recognized and divisible share of a company, shareholders have the right to hold or convey their interest in the company (Bebchuk, Kraakman, & Triantis, 2010). Effective corporate governance depends on laws, procedures and common practices that protect this property right and ensure secure methods of ownership, registration and free transferability of shares (Allen, 2015). Principle I also recognizes that shareholder generally have certain participatory rights on key corporate decisions, such as the election of directors and the approval of major mergers or acquisitions (Bebchuk, 2009).

Governance issues relevant to these participatory rights concern voting procedures in the selection of directors, use of proxies for voting, and shareholders' ability to make proposals at shareholder meetings and to call extraordinary shareholder meetings (Allen, 2015). Principle II also relates to "fairness" in holding that: "The corporate governance framework should ensure the equitable treatment of all shareholders, including minority and foreign shareholders. All shareholders should have the opportunity to obtain effective redress for violation of their rights." This means that the legal framework should include laws that protect the rights of minority shareholders against misappropriation of assets or self-dealing by controlling shareholders, managers or directors (Becht, Franks, Mayer, & Rossi, 2008).

Rules that regulate transactions by corporate insiders and impose fiduciary obligations on directors, managers and controlling shareholders -- and mechanisms to enforce those rules, such as shareholder derivative actions -- are some examples (Bertrand & Mullainathan, 2001). Transparency: Principle IV states that: "The corporate governance framework should ensure that timely and accurate disclosure is made on all material matters regarding the corporation, including the financial situation, performance, ownership and governance of the company. (Bertrand, Mehta & Mullainathan, 2002). " This recognizes that investors and shareholders need information about the performance of the company -- its financial and operating results -- as well as information about corporate objectives and material foreseeable risk factors to monitor their investment.

Financial information prepared in accordance with high-quality standards of accounting and audit should be subject to an annual audit by an independent auditor (Becht, et.al, 2008). This provides an important check on the quality of accounting and reporting. Of course, accounting standards continue to vary widely around the world. Internationally prescribed accounting standards that promote uniform

disclosure would enable comparability, and assist investors and analysts in comparing corporate performance and making decisions based on the relative merits (Bertrand, et.al, 2002). Information about the company's governance, such as share ownership and voting rights, identity of board members and key executives and executive compensation, is also important to potential investors and shareholders and is a critical component of transparency (Allen, 2015).

3.2 Corporate Governance in Practice

Common stockholders have the right to elect their representatives on the board of directors of a corporation. Members of the board of directors assume the responsibility of monitoring, directing and appointing the firm's managers. In this manner disperse shareholders are potentially empowered in setting direction, monitoring performance, and controlling distribution of profits of the corporation (Allen, 2015). In particular, this internal control mechanism is purported to integrate the interests of common stockholders and the executive managers of a corporation by rewarding good corporate performance (Becht, et.al, 2008). The board of directors has the right and responsibility to remove poorly performing managers. Historically, dissatisfied shareholders have "walked away" from the corporation by selling their shares at depressed prices and thereby incurring losses (Allen, 2015).

Alternatively, major shareholders either through hostile actions, "investor activism," or a friendly approach, "relationship investing," have pursued their objectives of monitoring corporate managers. Furthermore to the extent U.S. corporate laws permit, competing managers would remove incompetent ones and take over poorly performing firms (Becht, et.al, 2008). These aforementioned actions collectively are purported to add value for the existing shareholders. The business judgment rule followed by the U.S. courts, has kept the courts out of corporate decisions. The U.S. Business Law rests on the belief that actions of corporate managers are evaluated and approved by members of the board of directors of the corporation (Bertrand, et.al, 2002). In particular, corporate actions that have direct effects on shareholders' wealth are assumed to be communicated to them in a timely manner. Therefore, the U.S.

courts would not interfere in corporate matters except for fraudulent activities (Bertrand & Mullainathan, 2001). If members of the board of directors are not able or motivated to control managers, relationship investing is purported to achieve that (Allen, 2015). Relationship investing is an example of involved ownership of a business enterprise. Large investors tend to act as mentors to the managers of the firm and behave in a supportive and friendly manner (Bertrand, et.al, 2002). . Investors pursue different approaches for maintaining corporate internal control for the purpose of creating a well-functioning business enterprise. The underlying reason for the corporate governance system is the stakeholders' pursuit for preserving their respective share of profit earned by business enterprises (Allen, 2015).

SELF-ASSESSMENT EXERCISE

Question: Explain the basic OECD principles and how corporate governance operates in practice.

Answer: The OECD approach addresses shareholder rights, equitable treatment, stakeholder roles, disclosure and transparency, and the responsibility of boards. In practice, shareholders elect directors who supervise management; directors oversee policy, reporting and company performance; transparent disclosure assists investors; and mechanisms such as voting, shareholder engagement and independent review promote accountability. The OECD principles are offered as guidance for sound governance rather than as a substitute for each country's law.

Unit Quick Revision

OECD principles emphasise rights, fairness, transparency, stakeholders and board responsibility.

UNIT 5: GOOD GOVERNANCE, VALUE ADDITION AND DUE PROCESS

1.0 Introduction

Good governance brings value only when its principles affect real decisions and organisational conduct. Ratings and benchmarks provide ways to examine and improve governance practice.

3.1 Good Governance

What benefits or value addition the corporate are likely to achieve through sound and effective corporate governance practices? The answer, as provided by Abor and Nicholas, (2014) runs as follows and the road map is factors which add greater value through good governance, may be summarized as follow: • Adoption of good governance practices stability and growth to the enterprise. • Good governance system, demonstrated by adoption of good corporate governance practices, builds confidence amongst stakeholders as well as prospective stakeholders. • In today's knowledge driven economy, demonstrating excellence in skills has become the ultimate tool in the hands of board of directors to leverage competitive advantage. • Adoption of good corporate governance practices provides long-term sustenance and strengthens stakeholders' relationship. • A good corporate citizen becomes an icon and enjoys a position of respect. • Potential stakeholders aspire to enter into relationships with enterprises whose governance credentials are exemplary.

PAST QUESTION - 2022_2 Q1(b); 2024_2 Q5(a) - 14/12 marks

Question: Explain seven reflections or factors of good governance.

Answer: Good governance can be reflected in transparency, accountability, fairness, responsible conduct, reliable leadership, protection of stakeholder confidence, and long-term organisational stability. Such practices are associated with these practices with better access to investment, improved relations with stakeholders, sustainable performance, institutional respect and greater confidence in those who control the organisation. Good governance is not a decorative code: it should influence appointments, decisions, disclosure and the way resources are used.

3.2 Corporate Governance Rating/Benchmarking and Due Process

It was the belief of the Securities and Exchange Board of India ("SEBI") that efforts to improve corporate governance standards in India must continue. This is because these standards themselves were evolving in keeping with market dynamics (Adelman, Jenkins, & Kemmis, 2012). According to SEBI sources, SEBI has no intention to making rating of governance of listed companies mandatory. According to SEBI, it may be wrong to conclude that governance norms compelled companies to sacrifice long-term interests or outlook in the pursuit of short-term interests and responses to market signals (Albaum & Peterson, 2012). SEBI has commissioned a study to determine the cost of compliance incurred by companies in respect of the regulatory framework, including Clause of the listing agreement.

The Narayana Murthy committee on corporate governance code had gone about its work in a highly professional and democratic manner and SEBI wanted that the professionals should study the issues raised and its recommendations, including the proposal for facilitation of _whistle blowing'; ICRA which rated companies, adopted certain parameters and procedures for the purpose and the agency clarified that it normally required four to six weeks and the rating was not an audit or certification of regulatory compliance by the listed company and the exercise was not a guarantee against fraud (Anderson, Mansi, & Reeb,2012). Its primary focus in the rating was on the business processes. Key variables analyzed in rating included the shareholding structure, governance structure, management processes, board structure and processes, stakeholder relationship, transparency and disclosures and financial discipline (Berle, & Means, 2010).

Measuring Corporate governance practice: It may be noted that Standard & Poor has recently launched a new service, known as Corporate Governance Scores, to evaluate corporate governance practices, both at a country and at a company level. In the case of country governance assessment, the analysis starts with an evaluation of governance issues at the country level (Cole & Mehran, 2010). Depending

upon the level of support, a country would be assessed as providing "strong support", "moderate support" or "weak support". The other part of the analysis is concerned with company analysis which is concerned with evaluating the practices at individual companies. Standard and poor assigns scores to a company's overall practices using a synthesis of the OECD's and other international codes and guidelines of corporate governance practices (Conger, Finegold & Lawler, 2009).

The analysis has four main components as identified by Doidge, Karoly, and Rene, (2004), these four components and sub categories are as follows: Component 1 concerned with ownership structure, relates to transparency of ownership structure, concentration and influence of ownership. Component 2 concerned with financial stakeholder relations, has subcategories such as regularity of, access to, and information on shareholder meeting, voting and shareholder meeting procedures and ownership rights. Component 3 concerned with financial transparency and information disclosure comprises sub-categories like quality and content of public disclosure, timing of, and access to, public disclosure and independent and standing of the company's auditor.

PAST QUESTION - 2024_1 Q5 - 20 marks

Question: Discuss the rating/benchmarking of corporate governance.

Answer: Corporate governance rating or benchmarking examines how well a company's arrangements compare with recognised standards. Areas for review include board composition and oversight, the quality of disclosures, protection of shareholder rights, audit arrangements, accountability and compliance. There is debate around voluntary versus compulsory ratings, the costs of compliance and the importance of appropriate standards. Benchmarking can identify areas needing improvement, but the results must be interpreted alongside the company's legal environment and real conduct.

Unit Quick Revision

Good governance adds confidence and stability; benchmarking assesses performance against agreed standards.

UNIT 6: CORPORATE CONTROL DESIGNS AROUND THE WORLD

1.0 Introduction

Ownership structures differ between countries. Dispersed ownership differs from concentrated and cross shareholdings; shareholders can also actively influence management.

3.1 Corporate Governance System Varies Significantly Among Different Countries.

In a highly dispersed shareholding system, such as is the case in the U.S., members of the board of directors are granted the responsibility of monitoring executives. Internal corporate governance systems in Germany and Japan, on the other hand, rest with large shareholders. This is because their business and legal systems allow concentrated and cross shareholdings. The actions of these large shareholders appear to be a combination of aggressively controlling the management as well as a friendly one (Bryan and Patel, 2002). Corporate financial managers are expected to act on behalf of shareholders, with the goal of obtaining a reasonable return on their investments. Once the board fails in its duty, share prices would fall and institutional shareholders with a large stake would assume the responsibility of the board of directors. These actions could either be supportive or unfriendly towards the incumbent management team (Bethel et al., 1998).

3.2 Shareholder Activism

Shareholder activism involves the task of aggressive monitoring and controlling the firm's management for the purpose of enforcing changes in the firm's structure of internal control and increasing

shareholders wealth. It is generally found that shareholder activism tend to be beneficial to all investors in terms of appreciation of their wealth. Bryan and Patel, (2002), studied the influence of TIAA-CREF corporate governance practices for firms in its investment portfolios during 1992-1996. It was found that at least 87 percent of the target firms took actions in line with the terms negotiated by TIAA-CREF. Bryan and Patel, (2002), further concluded that the benefits of activism tended to depend upon the type of issues involved. The magnitude of benefits though appears to be small or insignificant. Board diversity issue had resulted in negative abnormal return, whereas confidential voting resulted in positive abnormal return.

Mengistae and Xu, (2004) reviewed the operating performance for 51 firms targeted by CALPERS during 1987-93. He found that shareholder wealth tend to increase for firms that adopt or settle, and decreases for firms that resist. However, there were no statistically significant changes in performance as measured by operating income, and cash flows. Bethel et al. (1998), reviewed the nature of investor activists' block share purchases in the 1980s and found that the target firms were highly diversified and with poor performance. It was found that activists' efforts had resulted in abnormal share price appreciation, operating profitability, asset divestitures, and a decrease in acquisitions. Their sample included 425 firms during 1980-89. Activist investors were found to be able to influence firm policies during the 1980s even though takeovers typically did not take place in the targeted firms.

Thus, suggesting that the market for partial control can play an important role in reducing the agency costs. This is the result of the separation of ownership and control in U.S. corporations. The greatest profitability improvements were observed two and three years after block purchases, and in firms that invested assets after such actions. Mengistae and Xu, (2004) on the other hand, suggest that activism on the part of public pension funds does not appear to increase the market value of their holdings. The U.S. capital markets possess a high degree of operational efficiency.

PAST QUESTION - 2024_2 Q5(b) - 8 marks

Question: Briefly describe the concept of shareholder activism.

Answer: Shareholder activism means investors take an active part in supervising and influencing management instead of merely holding shares and waiting for returns. Activists may question directors, vote on proposals, seek changes to board composition, demand better disclosure or press for new policies where performance is poor. Its stated aim in the material is to strengthen internal control and protect or improve shareholder wealth. Outcomes differ according to the issues raised and the company's response.

3.3 Concentrated and Cross Shareholding Systems

In Germany and Japan large percentages of shares of companies are held by banks, individuals, and other companies. Such a system is perceived as an effective way for monitoring and influencing the management, thus leading to better performance (Shanghai Stock Exchange, 2003). This cross shareholding system is also believed to be a low cost and efficient financing alternative than the capital markets. Banks in Germany are allowed to own stocks in the companies they lend to. Their large voting rights would allow these banks to remain informed and maintain control over the management (Che & Qian,1998). . In the Japanese system, the cross shareholding, known as the Keiretsu, provides a mechanism for stockholders to control management's actions. The Presidents' Council meets on a regular basis in which the lending banks, large shareholders, and other investing firms interact with the management.

The German and Japanese systems of corporate governance resemble the relationship investing (Mengistae & Xu, 2004). Naughton and Hovey, (1999) explains that in Germany, the management board is comprised of the top managers. They include the chairman, who is the equivalent of the CEO. The supervisory board, which is the equivalent of an outside board, includes both shareholders and labor representatives. In Japan the board consists of all insiders (Peng, 2001). The president is also the CEO.

A few top directors, including the president, are given special rights to represent the company. These are known as representative directors. Large shareholders have the means and the incentives to collect pertinent information regarding investment and financing activities of the firm. Yermack, (1996), state that it is feasible for large shareholders to collect information about the firm and to monitor the management.

However, while large shareholdings are not common in the U.S., majority ownerships are prevalent in Germany and Japan. Management and director turnovers are common in Germany and Japan in response to poor corporate performance. The Japanese large investors appear to be soft with the management and in Germany large investors have few incentives to discipline managers. Anderson & Reeb, (2003).conclude that firms in the U.S. rely on legal protection of investors, whereas in much of Europe and in Japan there is more reliance on large investors to exert effective internal corporate control. Bhagat and Black, (2002) observes that the difference between countries corporate governance system is as a result of differences in their legal and regulatory environments. Regulatory restrictions and limits placed on investors' holdings in the U.S. have led to dispersed holdings of stocks.

Conversely, the absence of such restrictions in Japan and Germany has resulted in concentrated shareholdings. In both Germany and Japan, unlike the U.S., banks have substantial influence in the companies they lend to. It is therefore, hypothesized that lack of a liquid financial market in Germany and Japan and the availability of low cost, long-term borrowing have contributed to the development of their respective corporate governance systems (Anderson & Reeb,2003). On the other hand, it is believed that the ample liquidity and marketability in the U.S.

PAST QUESTION - 2023_1 Q1(b) - 15 marks

Question: Enlighten on Concentrated and Cross Shareholding Systems.

Answer: Concentrated shareholding occurs where a small number of investors hold large blocks of a company's shares and can monitor management closely. Cross shareholding arises when companies, banks or related institutions own shares in one another. Examples include Germany and Japan, where large shareholders and banks often play substantial oversight roles, contrasting them with the more dispersed ownership typical of the United States. Cross shareholding can support stable finance and monitoring, although it may also concentrate influence.

Unit Quick Revision

Dispersed ownership differs from concentrated and cross holdings; activism means investors press for better corporate control.